

Module 1, Chapter 3: Insurance Contract Law

Contract Elements & Defective Agreements

- Defined under **Article 305 of the New Civil Code**, an insurance policy is a meeting of minds. It requires four essential elements to be legally enforceable:
 1. **Agreement:** A clear offer by one party and an explicit acceptance by the other.
 2. **Competent Parties:** The insurer needs a valid license; the insured cannot be a minor, mentally incompetent, or a public enemy.
 3. **Legal Purpose:** Cannot run contrary to law, morals, or public interest.
 4. **Consideration:** The premium payment.
- **Defective Contracts:**
 - **Rescissible:** Valid, but can be legally set aside due to economic damage, concealment, or misrepresentation.
 - **Voidable:** Appears valid but contains a structural legal flaw, such as being signed by a minor.
 - **Unenforceable:** Executed by an individual completely lacking the legal authority to do so.
 - **Void/Inexistent:** Purpose is completely contrary to law or public policy; holds zero lawful objective.

Policy Construction & Characteristics

- **Rules of Construction:** If a clause is genuinely ambiguous, it is strictly construed against the Insurer and liberally in favor of the Insured. In contradictions, the written/typed portion prevails over pre-printed text.
- **Structural Characteristics:**
 - **Aleatory:** Dependent entirely upon chance or luck.
 - **Contract of Adhesion:** The insured did not participate in drafting the text and must accept it as written.
 - **Personal:** Tied explicitly to the character of the owner; does not automatically pass to a new owner if property is sold.
 - **Unilateral:** The insurer is left alone to make legally enforceable promises to pay for losses after the premium is paid.
 - **Conditional:** The insured must satisfy specific duties before collecting.

The 6 General Principles of Insurance

1. **Utmost Good Faith:** Both parties must completely disclose all material facts. Breaking this via **Concealment** (neglecting to communicate a fact) or **Misrepresentation** (facts failing to match

assertions) renders the contract rescissible.

2. **Insurable Interest:** You must suffer financially if the subject is damaged.
 - *Property Rule:* Must exist when the insurance takes effect AND when the loss occurs.
 - *Life Rule:* Must exist ONLY when the insurance takes effect.
3. **Indemnity:** Ensures compensation places the insured back into the exact same pecuniary position occupied right before the loss. **You are never allowed to profit.** Life and Personal Accident insurance are the explicit exceptions.
4. **Subrogation:** The right of the insurer to stand in the shoes of the insured and pursue legal remedies against a negligent third party. **Exception:** Does not apply to Life and Personal Accident insurance.
5. **Contribution:** Applies to "Double Insurance" where multiple policies cover the same interest. Insurers pay proportionately to prevent the insured from recovering more than the full amount.
6. **Proximate Cause:** The active, efficient cause that sets a train of events in motion. Proximity is judged by its operational effectiveness, not necessarily which event was closest in time.

Key Takeaway: If you memorize nothing else for the exam, lock down the 6 General Principles. The timelines for Insurable Interest between Property and Life insurance will absolutely be on the test, as well as the strict exceptions to Indemnity and Subrogation!